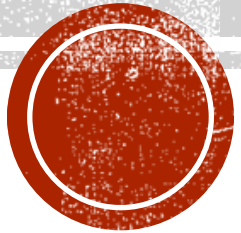
LEADERSHIP & MANAGEMENT

by ÖZLEM YILMAZ



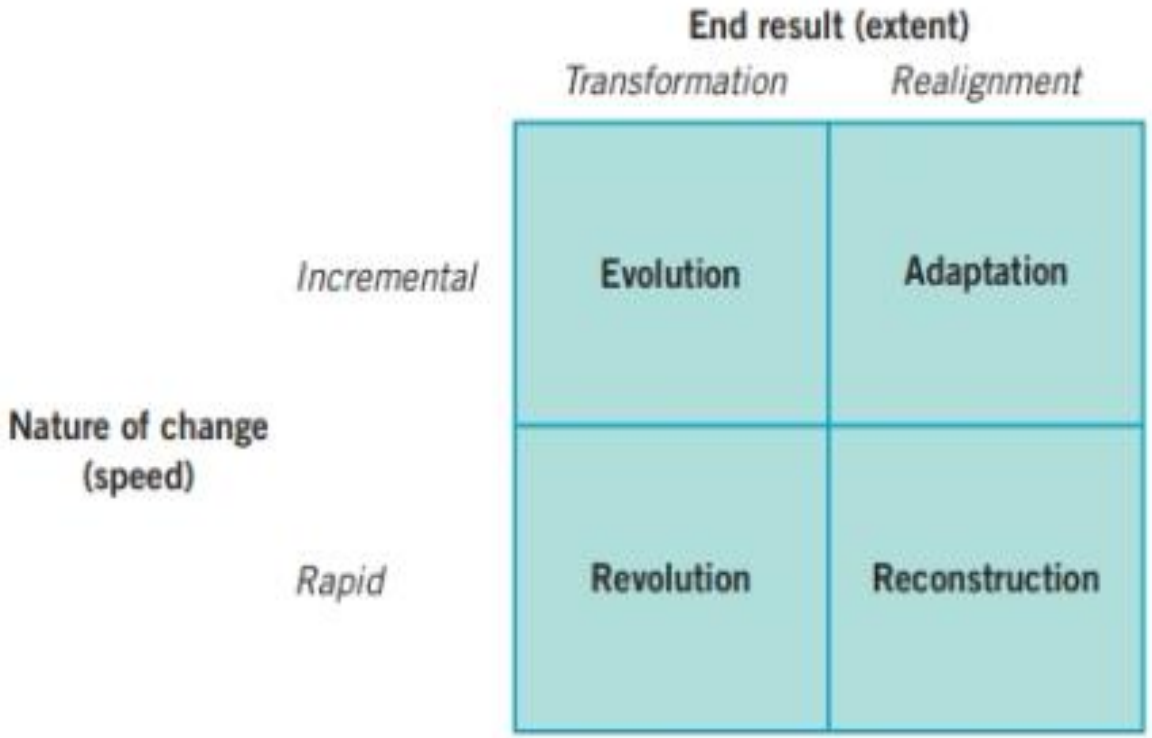
LEADERSHIP…

…leadership is about **coping w/producing the change**

- covers **setting the direction of change** by putting a vision and strategy
- being able to generate highly energized behavior of people; **inspires & motivates people** by satisfying basic human needs

TYPES OF CHANGE…

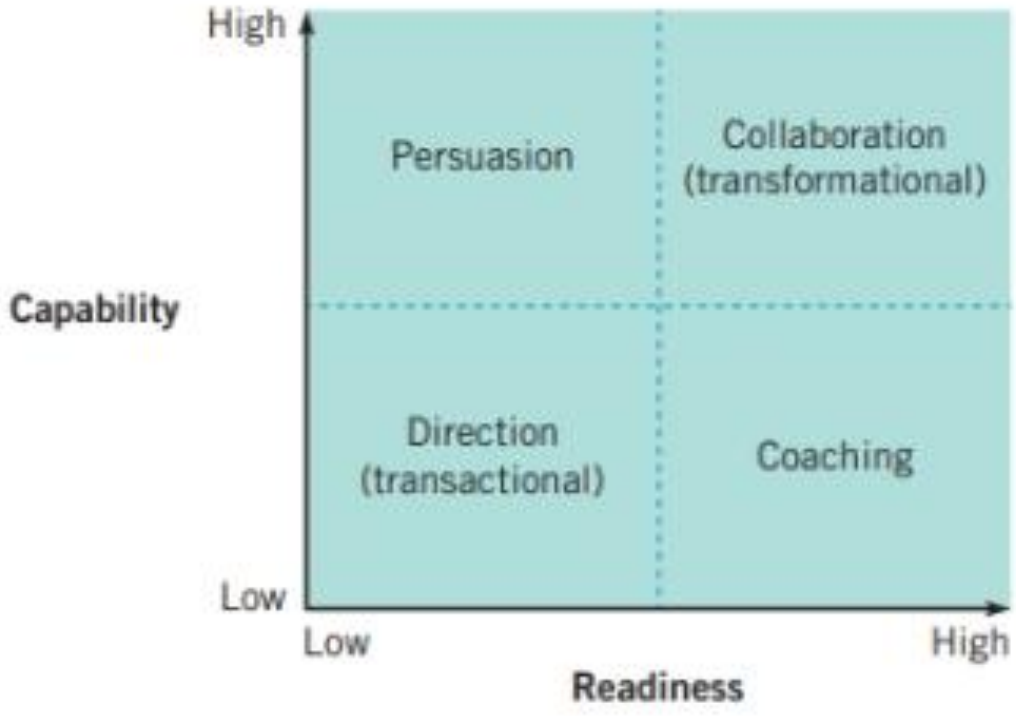
- Get on the balcony & identify (frame key Qs & issues) the adaptive challenge!



- **Adaptation**, builds on the prior strategy rather than fundamental change; change in product design, methods of production, launch of new products
- **Reconstruction (turnaround),** restructuring- changes in organizational structure-cost structure, acquisition, reinvestment, has the aim of fast recovery
- **Revolution,** rapid & major strategic and cultural change (involve strategic direction, top mngt change, culture change)
- **Evolution,** gradual transformation

CAPABILITY & READINESS TO CHANGE

Styles of change leadership according to capability and readiness



- **Regulate distress,** let the organization feel the external pressure within a range, challenge current roles & unproductive norms
- **Maintain disciplined attention,** demonstrate collaboration and solve problems
- **Give work back to employees,** support rather than control
- **Protect leadership voices from below,** ask 'what is this guy talking about? Have we missed sth?'

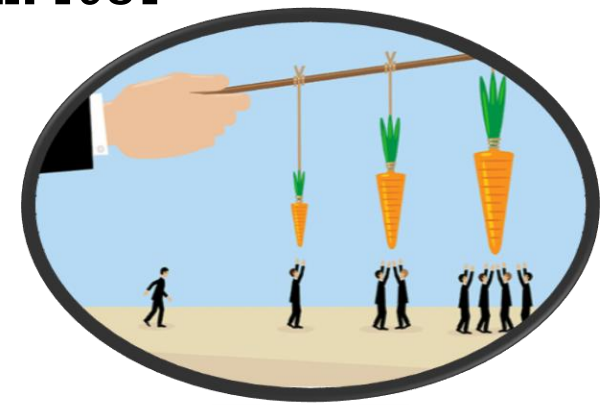
«if you think your teacher is tough wait till you get a boss»

- ***«if you think your teacher is tough wait till you get a boss»***

- Bill Gates is not known for engaging or adaptive communication. Rather, he is well known to be rude, abrasive, and sometimes dismissive of others' ideas. He once stated his hiring practice as, "I don't hire bozos," who will tell me how to run my business, and demonstrated foresight in his hiring by actively selecting dedicated, hard-working individuals at the initial development stages of Microsoft.
- Confrontational taskmaster; Microsoft was a high-stress environment because Bill drove others as hard as he drove himself. He was growing into the taskmaster who would prowl the parking lot on weekends to see who'd made it in. People were already busting their tails, and it got under their skin when Bill hectored them into doing more. Bill liked to hash things out in intense, one-on-one discussions; he thrived on conflict and wasn't shy about instigating it. Being a task-oriented leader he helped the team understand their goal by providing a series of steps that structure their initial meetings. He said "I believe that if you show people the problems and if you show them the solutions they will be moved to act".

TRANSACTIONAL LEADERSHIP…

- …was first described by Max Weber in 1947, then by Bernard Bass in 1981
- …is most often used by the managerial leaders
- …focuses on **controlling, organizing, and short-term planning**
- …consider **rewards and punishments** as the basis for actions
  - if the follower does what is desired, a reward will follow
  - if he does not, a punishment will follow



- …the power of transactional leaders comes from **their formal authority** and **responsibility/position power**
- …the main goal of the follower is to **obey the instructions**, telling style

TRANSFORMATIONAL LEADERSHIP…

- …was first introduced by Dowton in 1973 and then by James MacGregor Burns, first started w political leaders then used for corporate leaders as well
- …"is the process whereby a person engages with others and creates a connection that raises the level of motivation and morality in both the leader and the follower"
- … was the first developed and validated theory to **emphasis morals and values in leadership**
- … focuses on **how leaders can create valuable and positive change in their followers**
- …focuses on **treating employees as human beings rather than just numbers**

Followers of a transformational leader respond ***by feeling trust, admiration, loyalty, and respect for the leader and are more willing to work harder*** than originally expected.

TRANSFORMATIONAL LEADERSHIP…

…talks about the kind of leader who is inspirational and charismatic, encouraging their followers to transform and become better in whatever they are doing

- …**charisma** plays an important role, so does **behavior**
  - transformational leaders appear ***competent*** to their followers
  - they ***are role models for values and morals***
  - they ensure that ***goals are clear,*** they ***set high expectations,*** and they ***motivate*** their followers

- …transformational leaders have the ***respect*** of their followers and their followers have a ***high degree of trust*** towards the leader

TRANSFORMATIONAL LEADERSHIP…

4 factors of transformational leadership by *Bernard M. Bass*;

- …**idealized influence**, leaders appear competent to their followers, they are role models for values and morals, they ensure that goals are clear, they set high expectations, and they motivate their followers
- …**inspirational motivation**; leaders set and communicate high expectations for their followers. This leader inspires his/her followers using motivation to get them on board with the mission and vision
- …**individualized consideration**, leaders who take the time to talk to and listen to each of their followers and treats them with respect and dignity
- …**intellectual stimulation**, leaders who encourage followers to seek out creativity and innovation



TRANSFORMATIONAL LEADERSHIP…

- Followers of a transformational leader respond by feeling trust, admiration, loyalty, and respect for the leader and are more willing to work harder than originally expected.

Personality Characteristics	Behaviors	Effects on Followers
Dominant	Sets strong role model	Trust in leader's ideology
Desire to influence	Shows competence	Belief similarity between leader and follower
Self-confident	Articulates goals	Unquestioning acceptance
Strong moral values	Communicates high expectations	Affection toward leader
	Expresses confidence	Obedience
	Arouses motives	Identification with leader
		Emotional involvement
		Heightened goals
		Increased confidence

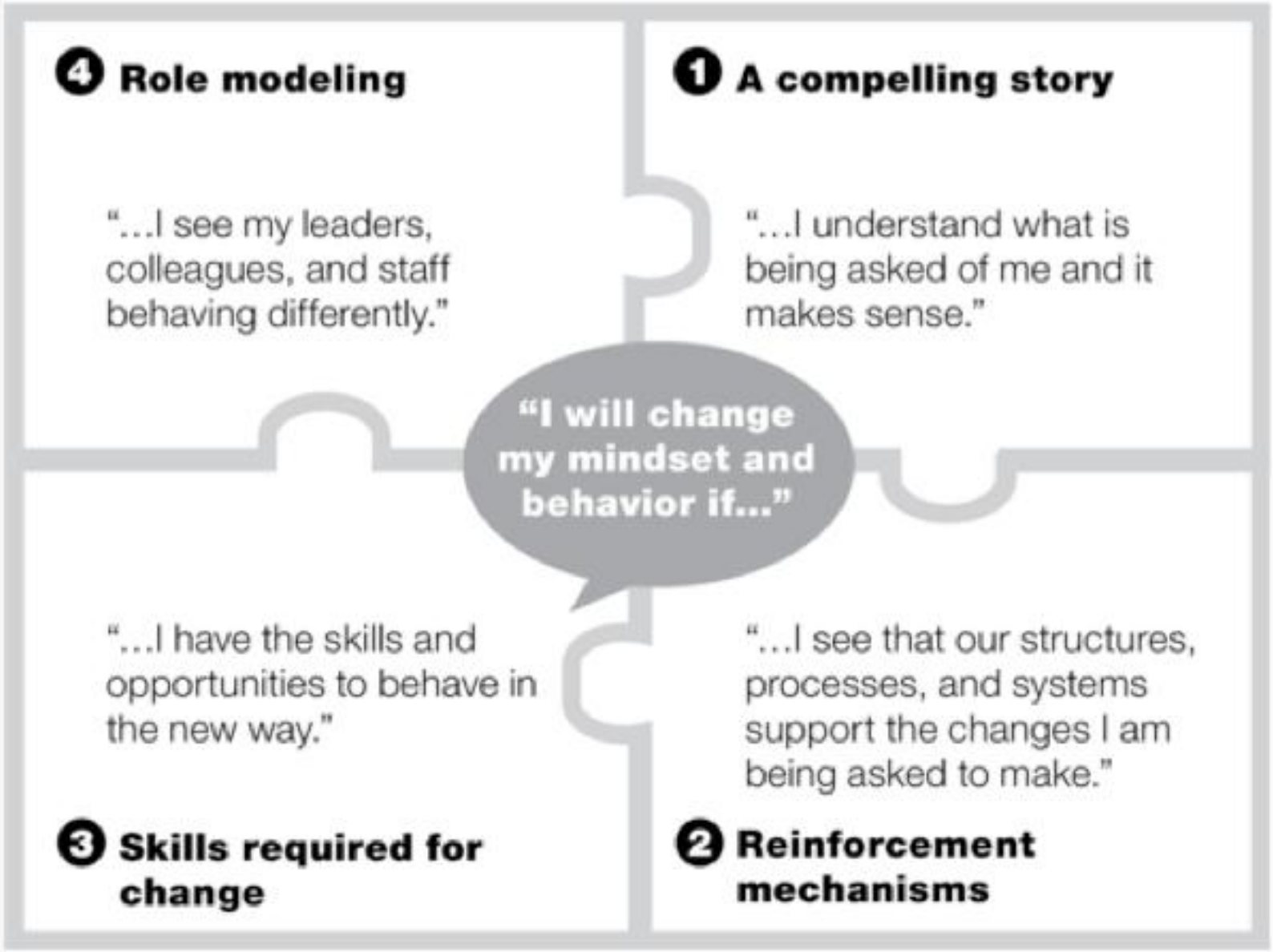
TRANSFORMATIONAL LEADERSHIP…

- Transformational leadership;
  - requires vision, values, initiative and a drive to instill that vision and the values into the culture
  - is a composition of many leadership elements which requires action from the leader
  - also has the potential to be used negatively by leaders "faking it."

LEADERSHIP STYLES...

Transactional leadership	Transformational Leadership
Leadership is responsive	Leadership is proactive
Designing systems & controls, works within the culture	Builds a vision, works to change the culture by implementing new ideas
Transactional leaders make employees achieve the objectives through rewards and punishment	Transformational leaders motivate and empower people to achieve the objectives by appealing to higher ideals and moral values
Motivates followers by appealing to their own self-interest	Motivates followers by encouraging them to transcend their own interests for those of the group or unit

The Four Levers of the Influence Model



WHAT IS CULTURE?

CULTURE IS THE ASSUMPTIONS, BELIEFS, BEHAVIORS AND ROUTINES THAT ARE THE CHARACTERISTICS OF A COMMUNITY

CULTURE EATS STRATEGY FOR BREAKFAST...

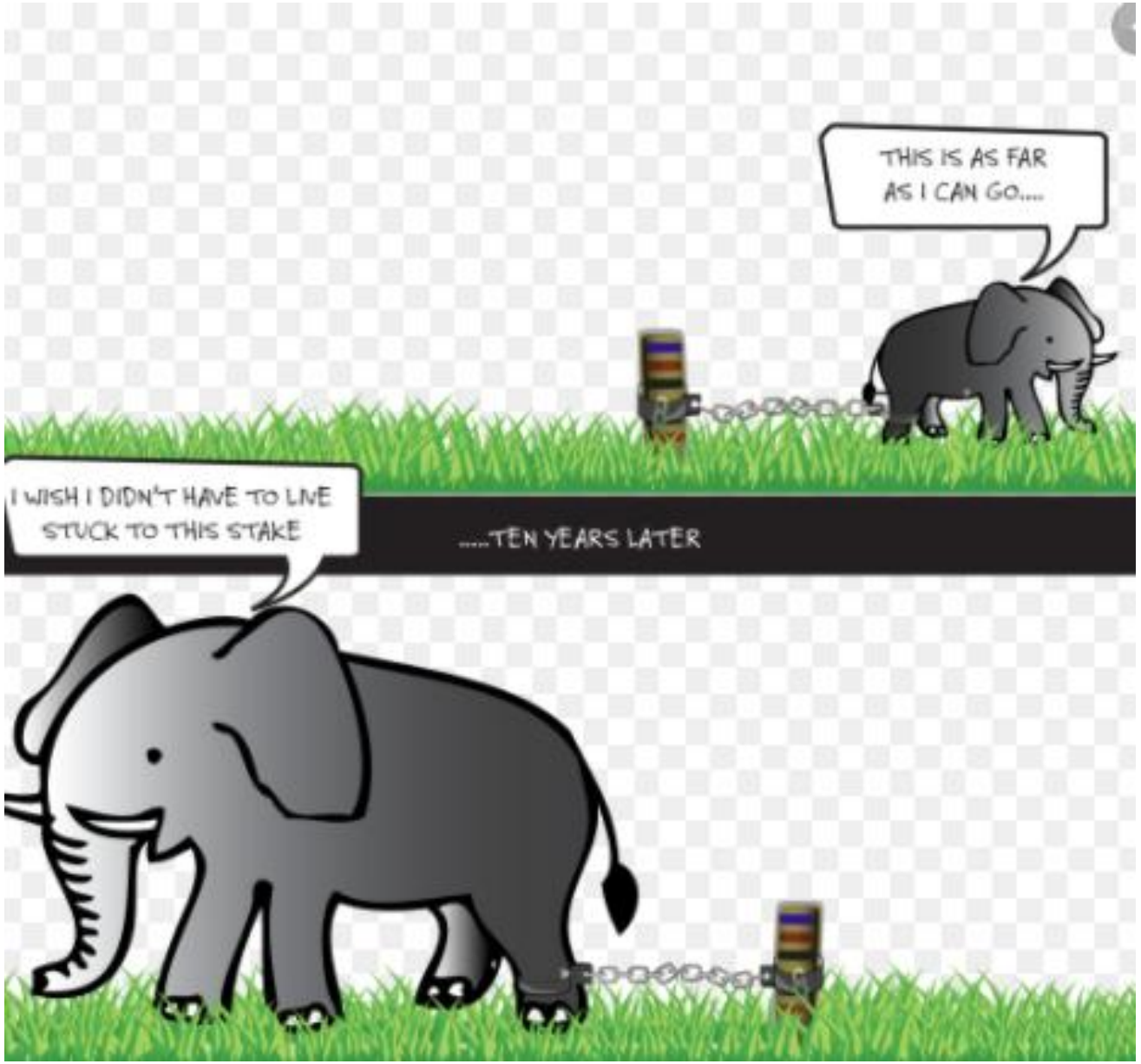
PETER DRUCKER

WHAT IS CULTURE?

- Organizational culture is
  - **…"the way things are done" OR "how organizations 'do things'."**
- **"We are what we repeatedly do."**
  - …repeated **behavior or habits** as the core of culture
  - …focuses our attention on the forces that shape behavior in organizations, and so highlights an important question: are all those forces (including structure, processes, and incentives) "culture" or is culture simply the behavioral outputs?
- **"Organizational culture is civilization in the workplace."**
  - …cultural norms define what is **encouraged, discouraged, accepted, or rejected within a group**
  - When properly aligned with personal values, drives, and needs, culture can unleash tremendous amounts of energy toward a shared purpose and foster an organization's capacity to thrive.

CULTURE IS THE ORGANIZATION'S IMMUNE SYSTEM

Culture is a form of protection that has evolved from situational pressures. It prevents "wrong thinking" and "wrong people" from entering the organization in the first place. It says that organizational culture functions much like the human immune system in preventing viruses and bacteria from taking hold and damaging the body. The problem, of course, is that organizational immune systems also can attack agents of *needed* change, and this has important implications for on-boarding and integrating people into organizations.



Learned helplessness is behavior exhibited by a subject after enduring repeated aversive stimuli beyond their control. It was initially thought to be caused from the subject's acceptance of their powerlessness: discontinuing attempts to escape or avoid the aversive stimulus, even when such alternatives are unambiguously presented. Upon exhibiting such behavior, the subject was said to have acquired learned helplessness

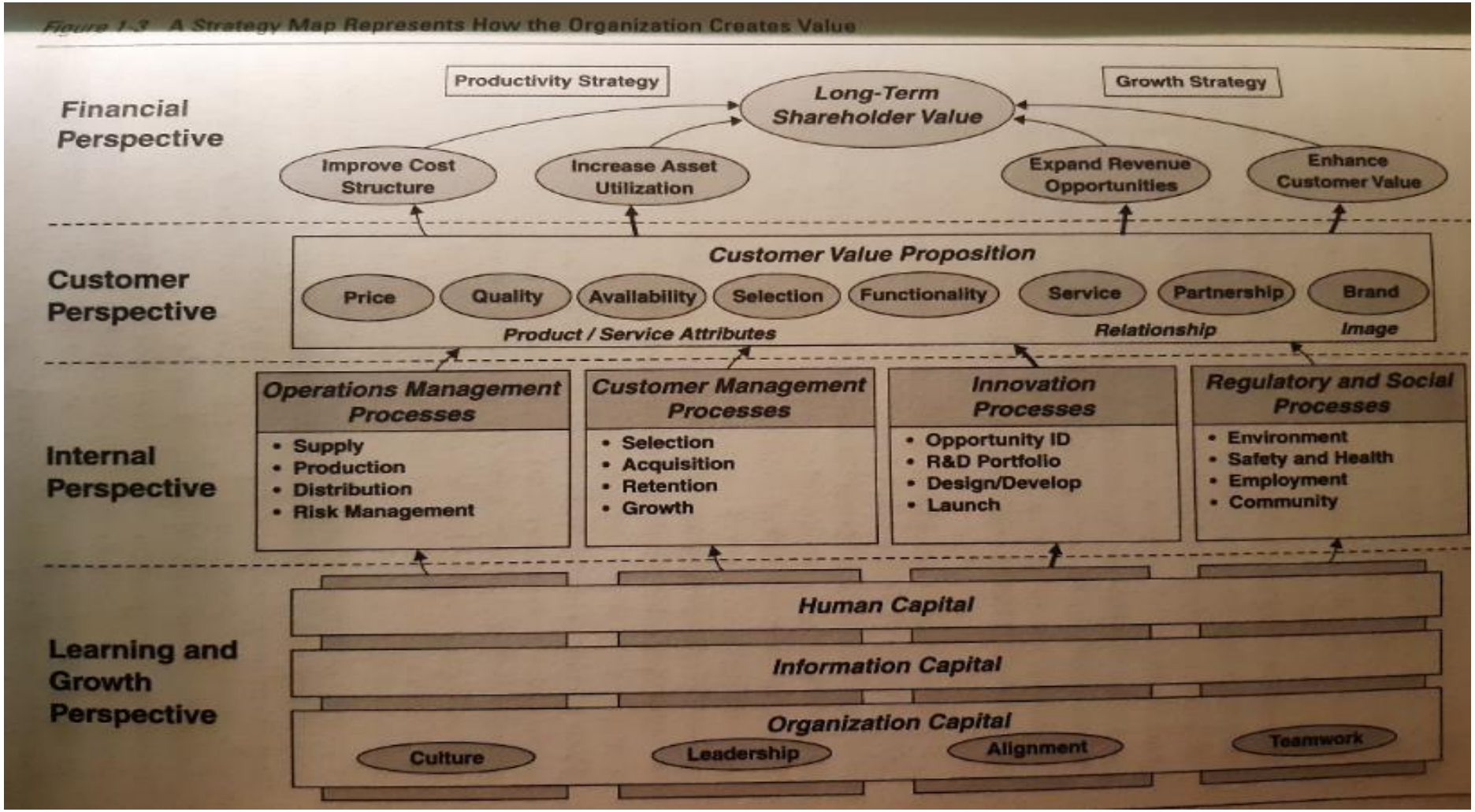


The **broken windows theory** is a criminological theory that states that visible signs of crime, anti-social behavior and civil disorder create an urban environment that encourages further crime and disorder, including serious crimes.

The theory was introduced in a 1982 article by social scientists James Q. Wilson and George L. Kelling

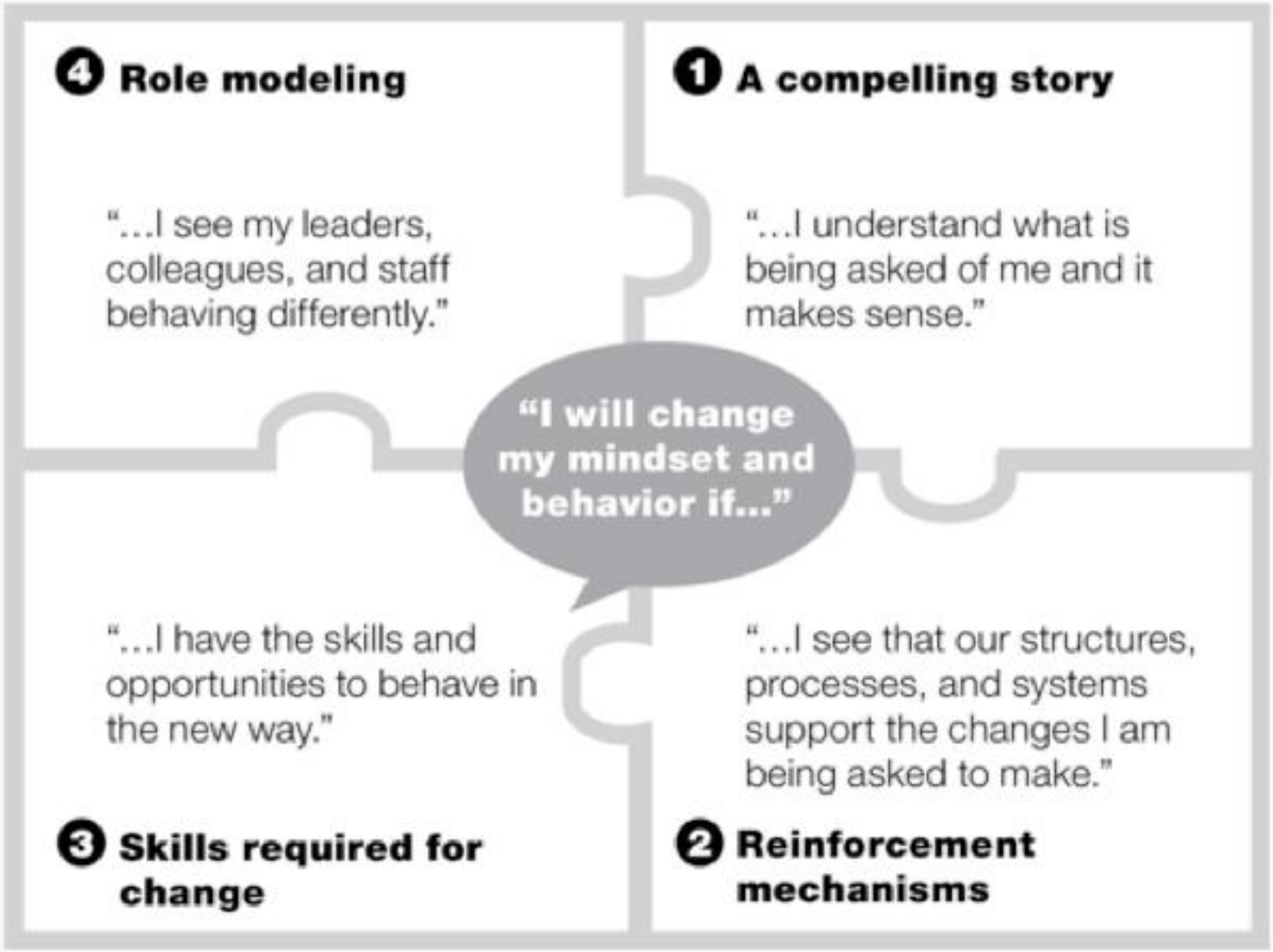
**from Wikipedia, the free encyclopedia*

MAPPING A STRATEGY…



Strategy Map by Robert Kaplan & David Norton

The Four Levers of the Influence Model



REINFORCEMENT MECHANISMS…

- **Corporate Governance**
- **Organizational Structure**
- **Performance Management**
- **Talent Management**
- **People Development**
- **Remuneration & Reward & Recognition**


The secret of my success is that we have gone to exceptional lengths to hire the best people in the world.
Steve Jobs

WHAT IS COMPETENCY?

- Competency is the capability to apply or use the set of related ***knowledge, skills, and abilities*** required to successfully perform 'critical work functions' or tasks in a defined work setting.

- **Competencies= Skills + Knowledge + Abilities +** ***Characteristics***

- Competencies specify the "how" (as opposed to the what) of performing job tasks, or what the person needs to do the job successfully.



WHAT IS TALENT?

According to McKinsey, the talent is sum of;

- a person's abilities
- her/his instinct gifts,
- skills, knowledge, experience
- intelligence
- judgement, attitude, character, drive
- her/his ability to learn and grow

- ***TALENT= COMPETENCE + COMMITMENT + CONTRIBUTION***
  - being competent
  - being committed to the causes and goals of the organization
  - be able to and willing to contribute to the success of the organization

The Talent Management Handbook, Lance & Berger

WHAT IS TALENT MANAGEMENT?

- TM introduced by McKinsey consultants, late 1990s
- TM;
  - is defined as the critical success factor in corporate world
  - focuses on;
    - differentiated performance & potential: A, B, C players that are influencing the performance and success of the organization
    - identifying key positions

WHAT IS TALENT MANAGEMENT?

- Talent management is the full scope of HR processes to ***attract, develop, motivate*** and ***retain*** high-performing & high quality employees.
- TM;
  - is a constant and continuous process, concentrating on today & future
  - focuses on high-quality employees to improve their performance & grow their optimal capability in strategic key positions
  - is the science of using strategic human resources planning improve business value
  - has a direct link with the business strategy

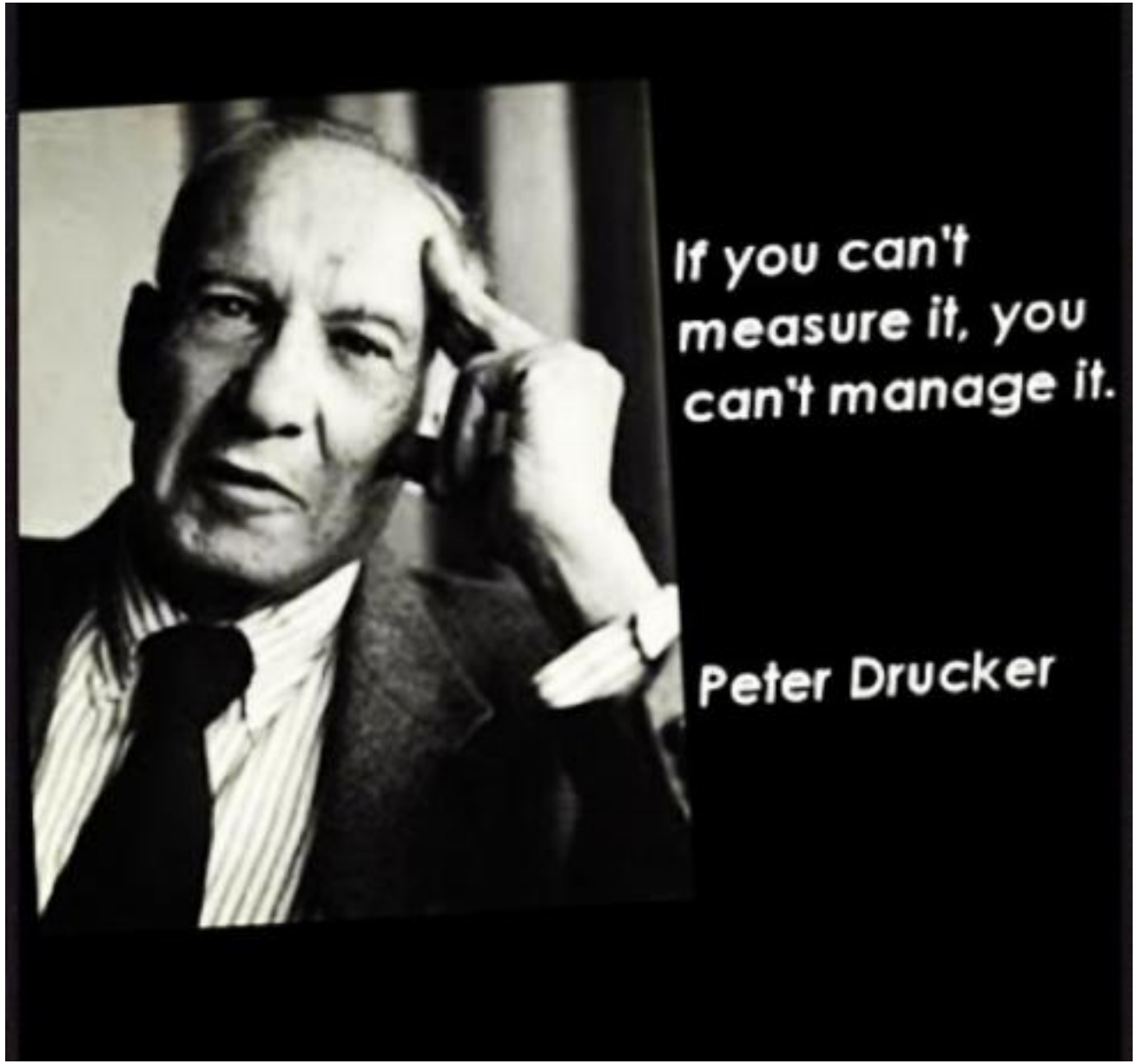
They regularly demonstrate exceptional ability and achievement over a range of activities

They have transferable high competence

They are high impact people who can deal with complexity (Robertson, Abbey 2003)

"When people are financially invested, they want a return. When people are emotionally invested, they want to contribute."

Simon Sinek - *"Start With Why"*



Peter Ferdinand Drucker (November 19, 1909 – November 11, 2005) was an Austrian-born American management consultant, educator, and author, whose writings contributed to the philosophical and practical foundations of the modern business management. He was also a leader in the development of management education, he has been described as "the founder of modern management".

WHAT IS PERFORMANCE MANAGEMENT?

- A simple definition of performance management;

  'the translation of plans into results-execution'

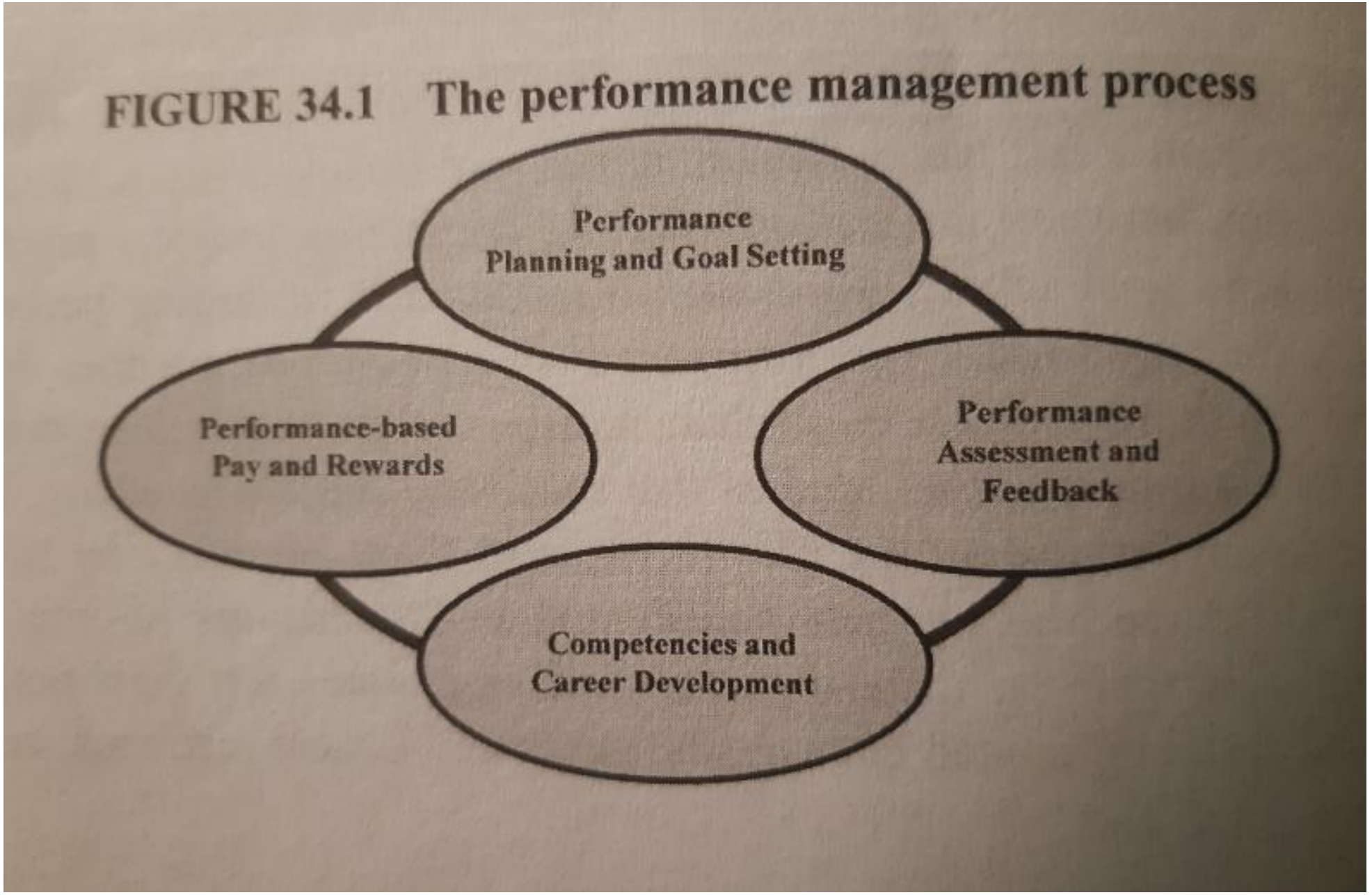
- PM is the answer of the Q of companies;
  - How are we going to win- and keep winning?

- It is an umbrella concept;
  - It integrates operational and financial information into a single decision support and planning framework.

WHY IS PM IMPORTANT?

- It is the process of managing an organization's strategy by deductive & inductive methods
  - Deductive; cascading the corporate goals to department, team and individual goals
  - Inductive; the outcomes of individual goals to team and department results, and finally corporate goals' results

- Performance management makes executing the strategy everyone's number-one-job- it makes employees behave like they are the business owners.


FIGURE 34.1 The performance management process
Performance
Planning and Goal Setting
Performance-based
Pay and Rewards
Performance
Assessment and
Feedback
Competencies and
Career Development

PLANNING AND GOAL SETTING

- …defining individual's goals and desired performance
  - using both quantitative and qualitative factors
  - linked to the performance expectations of teams, departments and corporation
  - communication is critical

- Goals/Targets should be;
  - SMART
    - S
    - M
    - A
    - R
    - T


S
Specific
Do: Set real numbers with real deadlines.
Don't: Say, "I want more visitors."
M
Measurable
Do: Make sure your goal is trackable.
Don't: Hide behind buzzwords like, "brand engagement," or, "social influence."
A
Attainable
Do: Work towards a goal that is challenging, but possible.
Don't: Try to take over the world in one night.
R
Realistic
Do: Be honest with yourself- you know what you and your team are capable of.
Don't: Forget any hurdles you may have to overcome.
T
Time-bound
Do: Give yourself a deadline.
Don't: Keep pushing towards a goal you might hit, "some day."

ASSESSMENT AND FEEDBACK

- …tracking results
  - discussing how well things are going and addressing factors that are inhibiting success
  - the discussion of 'what was accomplished' also needs to include the process used 'how they were accomplished'
  - preferably twice in a year; a mid-year and year-end assessment & feedback
  - an ongoing communication



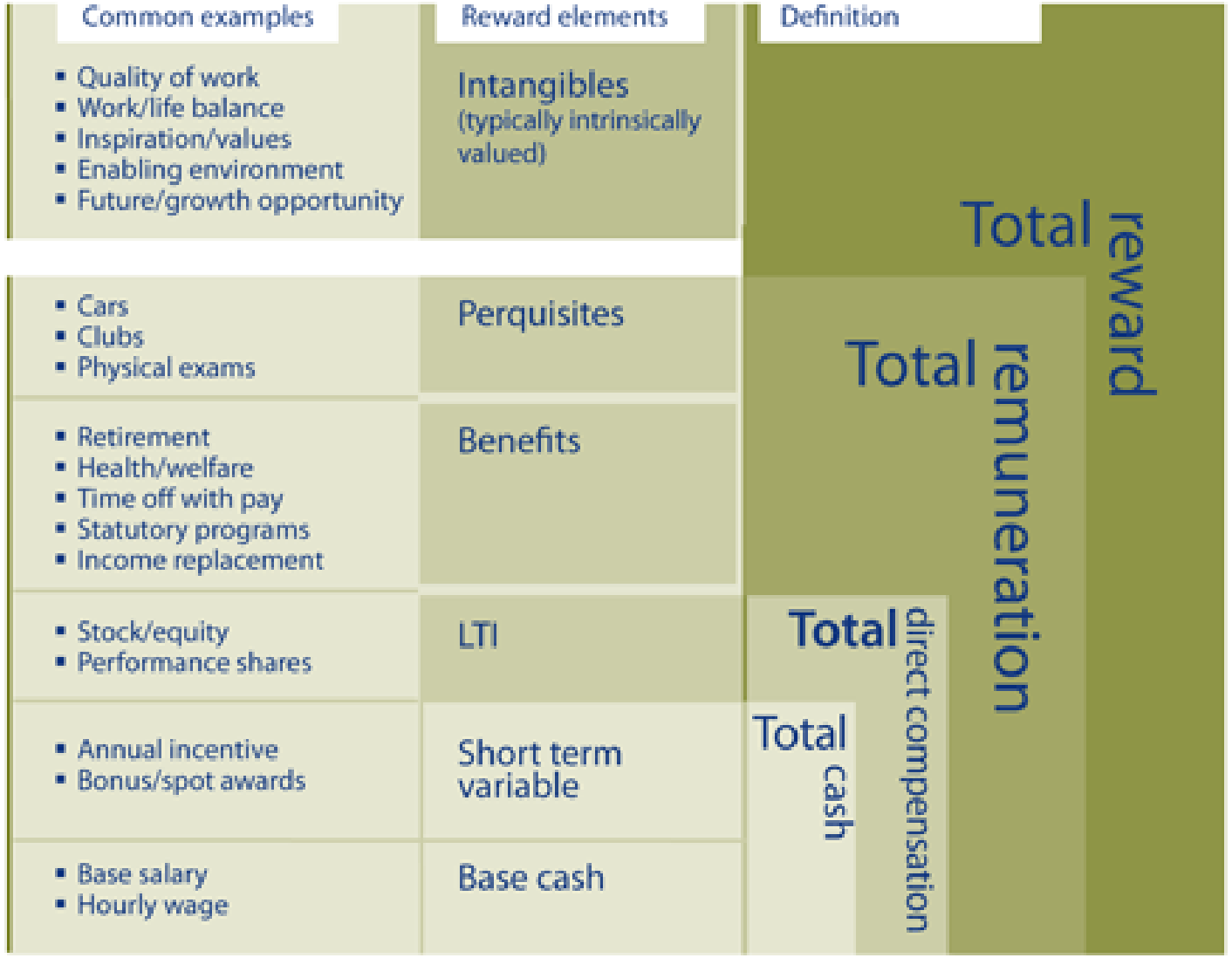
PAY & REWARDS…

- …determining the level of the rewards appropriate to individual's performance and contributions
  - rewards may consist of pay increases, bonus, payouts, special awards
    - pay increase, it becomes one of the parameters to define the increase %
    - bonus/pay out/incentive for an individual contribution or collaborative performance
  - unsatisfactory performance also has an effect on the income, either at the increase % and/or bonus payment

Intangible

Rewards where we can assign an objective dollar value

Tangible



REMUNERATION…

- Remuneration refers to all forms of ***financial returns and tangible services and benefits*** employee receive as a part of employment relationship.

- Forms of Pay & Benefits;
  - Base/ Cash compensation
  - Allowances (legal & fringe benefits)
  - Incentives
  - Bonus
  - Long Term Incentives